Difference between Tax and other Payments

Tax	Payments
Tax is compulsory to the government without getting any direct benefits	Fee is the payment for getting any service
If the element of revenue for general purpose of the state predominates, the levy becomes a tax	While a fee is a payment for a specific benefit privilege although the special to the primary purpose of regulation in public interest.
Tax is a compulsory payment	Fee is a voluntary payment.
If tax is imposed on a person, he has to pay it; otherwise he has to be penalised	On the other hand fee is not paid if the person do not want to get the service
In this case, tax payer does not expect any direct benefit. Example: Income tax, gift box, wealth tax, VAT etc.	Fee payer can get direct benefit for paying fee. Examples: stamp fee, driving license fee, government registration fee

SUMMARY

- Direct Tax is a tax paid directly to the Union government or to state or local governments, such as income tax and property tax.
- Income Tax is a tax paid by individuals and businesses based on earned and unearned income.
- Local Tax is a tax charged by a local government, such as a city or country.

GLOSSARY

Levied	To impose taxes	வரி (விதிக்கப்பட்ட)
Fluctuation	To change	ஏற்ற இறக்கம்
Defray	Meet the expenses	செலவை ஈடுகட்ட
Proponents	Person who advocates theory	கொள்கை மொழிவோர்
Progressive Tax	Happening or developing gradually or in stages	வளர்வீத வரி
Regressive Tax	Taking a proportionally greater amount from those on lower incomes.	குறைவுவீத வரி
Proportionate Tax	(of a variable quantity) having a constant ratio to another quantity.	ஒரேவீத வரி
Evasion	The action of evading something	ஏய்ப்பு

EXERCISE

I Choose the correct answer

1. The three levels of governments in India are
   a) Union, state and local
   b) Central, state and village
   c) Union, municipality and panchayat
   d) None of the above

2. In India, taxes are including
   a) Direct taxes
   b) Indirect taxes.
   c) Both (a) and (b)
   d) None of these

3. Which is the role of government and development policies?
   a) Defence
   b) Foreign policy
   c) Regulate the economy
   d) all of above

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